

SLC Agrícola

We See Acquisition of SLC LandCo as on Point

Outperform

Current Price R\$17.93

Target Price R\$25.00

BBG SLCE3 BZ

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SLC acquires the remainder of SLC LandCo for R\$525 million

Today, SLC announced through a material fact that it had acquired the remaining 19% stake in LandCo for R\$525 million (7% of its market cap). This is a neutral event for SLC, in our view, but it reinforces our thesis that land is the ultimate anchor of value for the company. We reiterate our Outperform rating (R\$25.00 YE2025 TP) and see SLC trading at a 45% discount to its land bank.

SLC LandCo has come in short of its potential over the last 10 years

Back in 2012, SLC and Valiance signed the creation of SLC LandCo. At that time, Valiance signed an intention to invest over US\$200 million (or R\$560 million using the currency translation) for each year of the capital subscription. However, growth over owned area was not as substantial as expected, and LandCo has only performed two major acquisitions, together worth R\$129 million: Parnaíba (10k hectares in 2013) and Perdizes (13k hectares in 2015), SLC's two largest assets. Looking back, SLC LandCo has been more a story of what it could be rather than what it actually became. On the other hand, the tender for the remainder of the portfolio could allow for a more streamlined operation and independence, in our view.

Minor adjustments to results reflect cash disbursement and land appraisals

We are reducing our accounting net income for 2026E by R\$39 million to R\$840 million to reflect higher interest expense, given the R\$525 million investment being made. On the other hand, we are increasing our net yearly appraisal of SLC's land bank by R\$20 million to reflect our inflation price indexing assumption over the value of the land, which historically has been a conservative input in our numbers.

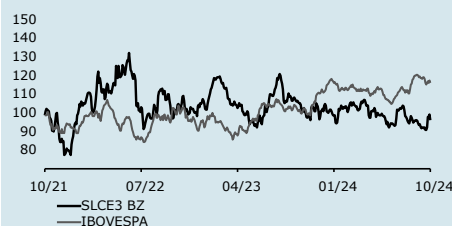
Land value is the ultimate anchor of valuation for SLC

Since we initiated coverage of [SLC in January 2024](#), we have been vocal about the mismatch between DCF and land appraisal valuation. We believe land is the ultimate anchor of value for the company. SLC's land bank is now worth R\$10.3 billion, while we value its leasing agreements at R\$5.4 billion, meaning we estimate the implied equity value of land and leasing operations discounted by the net debt to be worth R\$12 billion, 57% higher than the current market cap.

Maintaining Outperform and YE2025 TP of R\$25.00

TP was set on 09/27/2024.

Rating was set on 01/25/2024.

Relative Performance (R\$)


Source: FactSet.

Company Data, October 04, 2024 (closing price)

	SLCE3 BZ	(R\$ mn)	2022A	2023A	2024E	2025E
Bloomberg code	SLCE3 BZ					
Current Price	R\$17.93					
Target Price (YE 2025)	R\$25.00					
Price Perf Last 12 Mth (Absolute)	(5.95)%					
52 Week Range (R\$)	16.87 - 20.54					
Market Cap (R\$ mn)	7,886					
Free Float (%)	0.4					
3-Mth Avg daily vol (R\$ mn)	38					
Outst shares (mn)	440					
(R\$)	2022A	2023A	2024E	2025E		
Adj EPS	6.39	4.41	1.65	2.34		
BVPS	24.13	25.85	12.03	12.03		
DPS	2.93	3.30	0.97	0.82		
Revenues		7,373	7,231	6,491	7,322	
EBITDA		2,754	2,185	1,675	2,198	
EBIT		2,577	1,965	1,446	1,928	
Net Profit		1,339	925	725	1,031	
FCFE		132	(1,089)	(464)	643	
Net Debt		2,218	2,779	3,257	2,681	
P/E (x)		3.0	4.4	10.9	7.6	
EV/EBITDA (x)		2.3	3.2	6.7	4.8	
FCFE Yield (%)		3.3	(26.5)	(5.9)	8.2	
Div Yield (%)		13.8	15.3	5.4	4.6	
Net Debt/EBITDA (x)		0.8	1.3	1.9	1.2	

Sources: FactSet, Company Data and Santander estimates.

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Table 1. Key Company Data

	R\$			US\$		
	2023A	2024E	2025E	2023A	2024E	2025E
P&L Account						
Revenues	7,231	6,491	7,322	1,440	1,293	1,381
EBITDA	2,185	1,675	2,198	435	334	415
EBITDA YoY Change (%)	(20.7)	(23.3)	31.3	(18.4)	(23.3)	24.4
EBITDA as % of Revenue	30.2	25.8	30.0	30.2	25.8	30.0
EBIT	1,965	1,446	1,928	391	288	364
Net Financial Result	(711)	(410)	(407)	(142)	(82)	(80)
Associates	0	0	0	0	0	0
Taxes	(296)	(265)	(443)	(59)	(53)	(82)
Minorities	(42)	(65)	(73)	(8)	(9)	(7)
Net Profit	925	725	1,031	184	144	195
Adj Net Profit	925	706	1,008	184	144	195
YoY Change (%)	(30.9)	(23.7)	42.8	(28.9)	(21.6)	34.7
as % of Revenues	12.8	10.9	13.8	12.8	10.9	13.8
Cash Flow						
EBITDA	2,185	1,675	2,198	435	334	415
Lease Payments	(615)	(494)	(582)	(122)	(98)	(110)
Changes in Wkg. Capital	(594)	(54)	1,039	(118)	(11)	196
Capital Expenditures	(1,025)	(850)	(1,088)	(204)	(204)	(271)
Cash Financials	(711)	(410)	(407)	(142)	(82)	(80)
Cash Taxes	(286)	(265)	(443)	(57)	(53)	(82)
Other Cash Items	(42)	(65)	(73)	(8)	(9)	(7)
Free Cash Flow to Equity	(564)	31	1,219	(112)	(25)	170
Other Invest./(Divest.)	0	0	0	0	0	0
Dividends	629	427	353	125	85	68
Capital Increases/Other	(170)	0	0	(34)	0	0
Change in Net Fin. Debt	968	0	0	193	0	0
Balance Sheet						
Cash and Equivalents	1,614	1,310	2,250	333	218	317
Current Assets	5,754	5,801	5,364	1,188	1,116	994
Goodwill	138	138	138	28	27	26
Non-Curr Assets (ex g'will)	8,351	11,516	13,322	1,725	2,248	2,562
Total Assets	15,856	18,765	21,074	3,275	3,609	3,898
Current Liabilities	4,040	4,212	5,567	835	812	1,035
Non-Current Liabilities	6,574	8,893	9,775	1,358	1,710	1,810
Minorities	315	380	453	65	69	73
Shareholders' Equity	4,927	5,280	5,280	1,018	1,017	980
Total Liabilities & Equity	15,856	18,765	21,074	3,275	3,609	3,898
Net Financial Debt	2,779	3,082	2,143	574	626	497

Source: Company Data and Santander estimates.

Investment Case

We see a story of (i) growing yields, (ii) greater planted area, and (iii) stable costs amid a potential La Niña ahead for SLC, while the tough weather conditions in 2023-24 Brazilian crop are already priced in, in our view. Moreover, we expect SLC to be able to capture 45% of the economic value of the land bank of the leased assets, while the company is currently trading at a 34% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of its harvests since 2010. Moreover, we expect SLC to deliver a 7% return on its complete land bank (including owned and leased area), vs. its leasing cost of 3.2%, implying that the company has been able to capture 30% of the value of leased land appraisal. As such, growing leased area could move the discount even higher, creating a positive balance of risks.

Investment Risks

Risks: (i) a slowdown in cotton demand from Asia and deceleration in apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses, and (v) a bounce back of crop input prices.

Catalysts

(i) Greater planted areas, (ii) growing yields, (iii) re-valuation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country.

Company Description

SLC Agrícola is one of the world's largest grain and fiber producers, focused on the production of cotton, soybeans and corn. It also owns the SLC Sementes brand, which produces and sells soybean and cotton seeds. The company owns 22 production sites in 7 Brazilian states, totaling 671,946 hectares (2021-22 crop). SLC's business model is based on a modern production system, with large-scale, standardized production units, high technology, strict control of costs and social and environmental responsibility.

Santander vs. Consensus

Figure 1 - SLC: 2024-2026E Earnings Estimates (R\$m)

BRL	2024E			2025E			2026E		
	Santander	Consensus	Δ%	Santander	Consensus	Δ%	Santander	Consensus	Δ%
Net Revenue	6,491	7,629	-15%	7,322	7,792	-6%	7,566	8,453	-10%
Adj. EBITDA	2,169	2,149	1%	2,781	2,477	12%	2,514	2,791	-10%
Adj. EBITDA Margin	33%	28%	525bps	38%	32%	619bps	33%	33%	21bps
Net Income	725	718	1%	1,031	906	14%	840	1,102	-24%

Source: Santander estimates, VisibleAlpha consensus / EBITDA ex. leasing

Changes to Our Estimates

Figure 2 - SLC: 2024-2026E Earnings Estimates (R\$m)

BRL	2024E			2025E			2026E		
	New	Previous	Δ%	New	Previous	Δ%	New	Previous	Δ%
Net Revenue	6,491	6,491	0%	7,322	7,322	0%	7,566	7,566	0%
EBITDA after Leasing	1,675	1,675	0%	2,198	2,192	0%	1,874	1,879	0%
EBITDA Margin	25.8%	25.8%	0bps	30.0%	29.9%	9bps	24.8%	24.8%	-6bps
Net Income	725	706	3%	1,031	1,008	2%	840	857	-2%
Cotton - Spot prices (FOB) - US\$/pound	71.9	71.9	0%	72.0	72.0	0%	73.4	73.4	0%
Soy - Spot prices (FOB) - US\$/bu	12.1	12.1	0%	10.8	10.8	0%	11.0	11.0	0%
Corn - Spot prices (FOB) - US\$/bu	4.0	4.0	0%	4.4	4.4	0%	4.5	4.5	0%
Cotton Yield (kg/he)	1,977	1,977	0%	1,975	1,975	0%	1,984	1,984	0%
Soy Yield (kg/he)	55	55	0%	66	66	0%	67	67	0%
Corn Yield (kg/he)	117	117	0%	126	126	0%	126	126	0%
Planted Area (k he)	661	661	0%	737	737	0%	762	762	0%
Leased Area (k he)	224	224	0%	269	269	0%	284	284	0%

Source: Santander estimates, company reports

Valuation and Risks

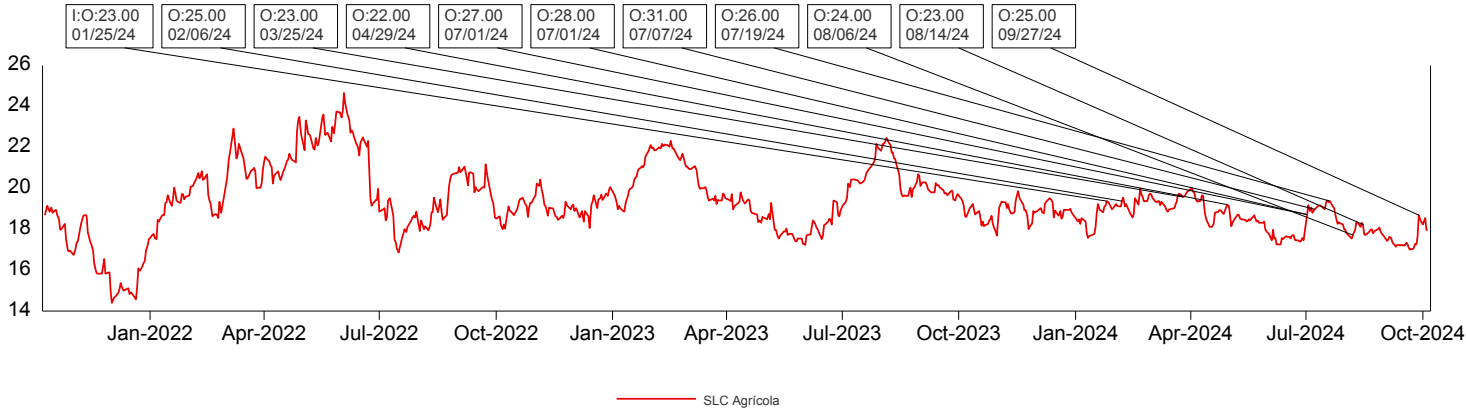
Our year-end 2025 target price is 50/50 blended between (i) a four-year DCF-based valuation, and (ii) adjusted value of land appraisals. Our DCF analysis considers: (i) ke of 13.2% and (ii) long-term growth rate of 4%. Our adjusted value of land appraisals considers a post-tax value of R\$10.2 billion, with a leasing yield of 5.6% and leasing cost of R\$591 million. Risks: (i) a slowdown in cotton demand from Asia and deceleration of apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses, and (v) a bounce-back of crop input prices.

Other companies mentioned

SLC LandCo (Not Rated)

Valiance (Not Rated)

SLC Agrícola - Three-Year Stock Performance (R\$)



Sources: FactSet and Santander. *Note that our rating terminology changed on December 15th 2021. Prior to that, our current Outperform (O) was Buy (B); Neutral (N) was Hold (H); we maintain our naming convention for Underperform (U)

Valuation & Risks

Our year-end 2025 target price is 50/50 blended between (i) an 4-year DCF-based valuation, and (ii) adjusted value of land appraisals. Our DCF analysis considers: (i) ke of 13.2% and (ii) long-term growth rate of 4%. Our adjusted value of land appraisals considers a post-tax value of R\$10.2 billion, with a leasing yield of 5.6% and leasing cost of R\$591 million. Risks: (i) a slowdown in cotton demand from Asia and deceleration of the apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses and (v) a bounce back of crop input prices.

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Rating	Definition	% of Companies	
		Covered with This Rating	Provided with Investment Banking Services in the Past 12 months
Outperform	Expected to outperform the local market benchmark by more than 10%	66.09%	53.25%
Neutral	Expected to perform within a range of 0% to 10% above the local market benchmark	27.90%	44.62%
Underperform	Expected to underperform to local market benchmark	4.29%	30.00%
Under Review		1.72%	100.00%

The numbers above reflect our Latin American universe as of June 28th, 2024.

For a discussion, if applicable, of the valuation methods used to determine the price targets included in this report and the risks to achieving these targets, please refer to the latest published research on these stocks. Research is available through your sales representative and other electronic systems.

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